

A number of years ago when we were long a lot of coal stocks, one of the coal company conference calls mentioned that they had to place large orders for coal cars because they just didn't have enough cars to meet all the demand. I immediately checked a number of companies that manufactured coal cars and noticed they were all generally flatlining in price. We knew at least one large coal company was going to be a major buyer, but this fact was not reflected at all in the price. So we went long Trinity Industries, which was one of the manufacturers of coal cars. If Trinity had been up dramatically, then maybe the impending increase in the demand for coal cars would already have been priced in, but you could tell from the flat price action that it was not priced in.

As another example, in 2007 and 2008, I listened to a number of conference calls with coal, oil, and natural gas companies in which they indicated that they would be deferring their capital expenditures. What do you do then? You go out and look for companies that are in the capital equipment space selling to those industries because you know their orders are going to slow down. There is a definite opportunity to short those names.

In sharp contrast to most long/short funds who experienced significant losses in 2008, you had a very good year. How did you achieve those results?

We were short mortgage lenders and a lot of the bank stocks. I listened to the Countrywide conference calls every quarter. I remember Mozilla, the CEO, saying that because Wall Street was getting into the business in a major way, the spreads were being cut more and more, and therefore they had to take greater and greater risks. At the same time, default rates had begun to rise. It was clear that the housing bubble couldn't be sustained and that companies like Countrywide and Washington Mutual were good shorts. I didn't know they would go down as much as they did, but I knew there was no way they would be going higher. I didn't necessarily understand the intricacies of the mortgage securitizations, but I realized that the banks were heavily leveraged in this product. On top of that, when politicians are making statements that certain banks deserve to fail, why would anyone want to own bank stocks? I had seen it all before. I had seen a number of big banks go to zero during the S&L crisis. I had